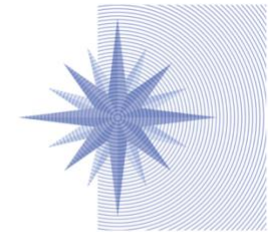


the Wolfsberg Group

Payment Transparency Roles and Responsibilities



Banco Santander
Bank of America
Barclays
Citigroup
Deutsche Bank
Goldman Sachs
HSBC
JPMorgan Chase
MUFG Bank
Société Générale
Standard Chartered Bank
UBS

Introduction: The Wolfsberg Group (the Group) has prepared this guidance to supplement, and be read in conjunction with, the [Wolfsberg Group Payment Transparency Standards](#) published in October 2023. Payments can flow in a variety of ways and involve many types of payment service providers (PSPs),¹ messaging systems and payment market infrastructures (PMIs). The purpose of this document is to provide an overview of the roles played by key actors in a payment chain. It also sets out their respective responsibilities to adhere to payment transparency standards across a sample of commonly observed payment flows and serves as a reference guide that can be used by all PSPs, regulators and standard setters.

¹ In this document, PSP is used to capture the full spectrum of payment service institutions that provide fund transfers, to include credit transfers, direct debit, money remittances whether domestic or cross-border, and transfers carried out using a payment card, an electronic money instrument, mobile phone, or any other digital or IT prepaid or postpaid device with similar characteristics. This includes traditional banks and money service businesses (MSBs), as well as entities commonly referred to as third party payment processors and electronic money institutions, among other PSP types.

The Group acknowledges that there are wider responsibilities of PSPs not described in this document and that all PSPs are required to comply with applicable laws and regulations so as to maintain effective Anti-Money Laundering and Counter-Terrorist Financing (AML/CTF) programme controls.

References in this document to monitoring refer to real-time or ex-post monitoring as may be required by applicable laws and regulations.

The roles and responsibilities of actors in the payment flow apply to all actors regardless of the entity type or their corporate affiliation.

Note: this document is **not** intended to:

- Describe all the possible permutations of how a payment can be made
- Set out the detail of controls that are part of a PSP's wider financial crime risk management programme including, but not limited to, Know Your Customer (KYC)/Customer Due Diligence (CDD), Enhanced Due Diligence (EDD), sanctions compliance (which depends on payment messages being transparent), transaction monitoring and record keeping
- Cover every role and every actor that could be involved in a payment flow
- Cover every responsibility of every actor in the payment chain
- Cover the nature and timing of the flows of information arising from a request for information (RFI) process.

Table 1. Simplified payment flow – roles and responsibilities matrix

Example of a cross-border payment between two countries (country A and B), two parties and with no intermediaries (and not a direct debit transaction).

The parties outlined in Table 1 are present in all cross-border payments irrespective of the number of intermediary PSPs involved.

ISO term for the party	Alternate terms for the party	Role in payment	Selected responsibilities (For further details refer to the Wolfsberg Group Payment Transparency Standards)
Debtor	• Originator • Payer • Sender • Remitter • Initiator	The natural or legal person who provides the initial instruction to their PSP to move funds to a creditor, e.g. the holder of an account, wallet, or similar.	• Provision of details of the account held with the creditor agent PSP as supplied by the creditor/beneficiary and details of payment.
Debtor agent PSP	• Originator's PSP • Payer's PSP • Sender's PSP • Remitter's PSP • Initiator's PSP	Acts on the payment instruction of the debtor.	• Ensure that payment messages contain all required information in compliance with FATF Recommendation 16, or as stipulated by applicable local laws, regulations and guidance. • Selection of PMI in such a way that preserves transparency. • As required by local laws and regulations, and taking into consideration relevant guidance, conduct monitoring of required information, and request for additional information and/or reject any payment with insufficient information, where appropriate. • Monitor for manifestly meaningless or incomplete information in payment messages according to local laws, regulations, and guidance as appropriate.
Creditor agent PSP	• Beneficiary's PSP • Payee's PSP • Receiver's PSP	Acts as the PSP to the creditor to enable them to receive the payment from the debtor.	• Transmission of relevant details of payment information received from the debtor agent PSP to the creditor (via statement or credit advice) and raising RFIs, as necessary, when payment information is deficient. • Maintaining risk-based policies and procedures to determine when to execute, reject or suspend a payment in line with the PSP's AML/CTF and sanctions compliance obligations. • As required by local laws and regulations, and taking into consideration relevant guidance, conduct monitoring of required information, and request for additional

			information and/or reject any payment with insufficient information, where appropriate. • Monitor for manifestly meaningless or incomplete information in payment messages according to local laws, regulations, and guidance as appropriate.
Creditor	• Beneficiary • Payee • Recipient	The natural or legal person who receives the funds.	• Provision of accurate information to the debtor to facilitate the completion of the transfer.

Table 2. Intermediary agent PSPs – varying roles and responsibilities

The table below gives examples of three different ways in which an intermediary agent PSP can be involved in a payment to draw attention to what information is available to each actor from the payment message and what responsibilities they have in relation to payment transparency requirements. As set out in the Introduction, it does not consider what additional information might be available from the RFI process.

All intermediary agent PSPs have an obligation to monitor for manifestly meaningless or incomplete information in payment messages as may be required under applicable local laws, regulations and taking into consideration relevant guidance and to adhere to Basel Committee on Banking Supervision guidance² as appropriate.

Not all payment flows will include intermediary agent PSPs and not all types of intermediary agent PSPs depicted below will necessarily be present.

ISO term for the party	Role in payment	What information will be present in the payment message	Selected responsibilities (For further details refer to the Wolfsberg Group Payment Transparency Standards)
Intermediary agent PSP (I)	Intermediary agent PSP (I) provides correspondent account services directly to the debtor agent PSP, which lacks direct access to selected PMIs or Swift. It may also be referred to as the debtor agent PSP's correspondent. The debtor agent PSP is the customer/respondent of intermediary agent PSP (I). Note: this intermediary agent PSP may be in a different country to the debtor agent PSP which may trigger additional obligations under the laws and regulations of the countries involved.	Depending on the debtor agent PSP's business model this could be: • Serial³ payment with details of debtors, creditors and purpose of payment. • Cover payment in the form of a pacs.009COV or MT202COV message containing debtor and creditor names, along with purpose of payment. • Payments that may be proprietary or bundled with no supporting detail – payment amounts could be aggregated third-party payments, treasury/proprietary payments, or a combination of the two.	• Using a risk-based approach: ○ confirming that the payment model as proposed by its PSP customer/respondent (debtor agent PSP) is operating as expected; and ○ confirming that the use of distinct payment approaches or permitted exceptions (e.g. in pursuing bundled payments, collection agent models, or “goods or services” provisions) are in line with the policies established by the intermediary agent PSP (I) as agreed with the debtor agent PSP and applicable local laws and regulations. • Ensure compliance with relevant laws, regulations and guidance, including (if

² BCBS [Due diligence and transparency regarding cover payment messages related to cross-border wire transfers](#)

³ See [Swift Knowledge Centre](#) (login required) ‘Where more than two financial institutions are involved in the payment chain, and if the payment [including the names of the parties and details of payment], ... is sent from one financial institution to the next financial institution in this chain then the payment method is called ‘serial’. Text in square brackets added for clarity.

		In addition, what intermediary agent PSP (I) sees depends on: • The extent of payment information provided by the debtor (note, intermediary agent PSP (I) does not see the debtor's original instruction). • The ability of the PMIs to carry the information. • Any changes to the information provided by the debtor made by the debtor agent PSP.	applicable) as a participant in the PMI through which the payment is transmitted. • Transmission of payment information received from the debtor agent PSP to the next PSP in the chain without altering such information to the fullest extent made possible by the PMI/messaging system. • As required by local laws and regulations, and taking into consideration relevant guidance, conduct monitoring of required information received, and request for additional information and/or reject any transaction with insufficient information where appropriate.
Intermediary agent PSP (II)	Intermediary agent PSP (I) may not have direct access to selected PMIs or Swift to facilitate the flow without the involvement of another intermediary agent PSP, so it will select intermediary agent PSP (II) to facilitate the payment. Only in limited cases will the debtor agent PSP be aware of intermediary agent PSP (II)'s involvement. The creditor agent PSP may not be aware of intermediary agent PSP(II)'s involvement if there is a subsequent intermediary agent PSP in the chain. Intermediary agent PSP (II) has no customer relationship with the debtor, creditor or their respective PSPs in the context of this payment. Intermediary agent PSP I is the customer/respondent of intermediary	The payment data visibility depends on: • The debtor agent PSP's business model (i.e. whether serial, cover, or bundled payments are used) – note that as the debtor agent PSP is not a customer of this intermediary, intermediary agent PSP (II) will have limited ability to understand or know the debtor agent PSP's business model. • The payment information provided by the debtor (note, intermediary agent PSP (II) does not see the debtor's original instruction). • The ability of the PMIs to carry the information. • The information included and transmitted in the payment message by the debtor agent PSP and intermediary agent PSP (I).	• Using a risk-based approach: ○ confirming that the payment model as is proposed by its PSP customer/respondent (intermediary agent PSP (I)) is executed correctly in practice; and ○ confirming that its customer's (intermediary agent PSP (I)'s) use of distinct payment approaches is in line with the policies established by the intermediary agent PSP (II) as agreed with intermediary agent PSP (I) and in line with applicable local laws and regulations. • Ensuring compliance with relevant laws, regulations, and guidance, including (if applicable) as a participant in the PMI through which the payment is transmitted. • Transmission of payment information received from the intermediary agent PSP (I) to the next PSP in the chain without altering such

	agent PSP (II). Intermediary agent PSP (II) may also be referred to as the correspondent of intermediary agent PSP (I). Note: intermediary agent PSP (II) may be in a different country to Intermediary agent (I) or the debtor agent PSP which may trigger additional obligations under the laws and regulations of the countries involved.		information to the fullest extent permitted by the PMI/messaging system. • As required by local laws and regulations, and taking into consideration relevant guidance, conduct monitoring of required information received, and request for additional information and/or reject any payment with insufficient information where appropriate. Note: intermediary agent PSP (II) will not have information to determine if any payment bundling being undertaken is in line with the debtor or creditor agent PSP's business models and payment transparency requirements as neither the debtor agent PSP nor creditor agent PSP is its customer.
Intermediary agent PSP (III)	Intermediary agent PSP (III) provides correspondent account services to the creditor agent PSP, which may lack direct access to the necessary PMIs or Swift. It may also be referred to as the creditor agent PSP's correspondent. The creditor agent PSP is intermediary agent PSP (III)'s customer/respondent. Note: intermediary agent PSP (III) may be in a different country to the creditor agent PSP which may trigger additional obligations under the laws and regulations of the countries involved.	As for Intermediary agent PSP (II), the payment data visibility depends on the debtor agent PSP's business model (i.e. whether serial, cover, or bundled payments are used), as well as these factors: • The payment information provided by the debtor. • The ability of the PMIs to carry the information. • The information included and transmitted in the payment message by each of the preceding PSPs in the chain.	• Using a risk-based approach: ○ confirming that the payment model as proposed by its PSP customer/respondent (the creditor agent PSP) is executed correctly in practice; and ○ confirming that the creditor agent PSP's use of distinct payment approaches or permitted exceptions (e.g. in pursuing bundled payments, collection agent models, or "goods or services" provisions) are in line with the policies established by the intermediary agent PSP (III) as agreed with the creditor agent PSP and applicable local laws and regulations. • Ensure compliance with relevant laws, regulations, and guidance, including (if

			applicable) as a participant in the PMI through which the payment is transmitted. • Transmission of payment information received from the preceding PSP to the creditor agent PSP without altering such information to the fullest extent permitted by the PMI. • As required by local laws and regulations, and taking into consideration relevant guidance, conduct monitoring of required information received, and request additional information and/or reject any payment with insufficient information where appropriate. Note: intermediary agent PSP (III) will not have information about the debtor agent PSP's business model and payment transparency requirements (as the debtor agent PSP is not its customer) but it should have information about the creditor agent PSP's business model (since the creditor agent PSP is its customer).
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